EXECUTIVE SUMMARY

1. Introduction

Old folks in Amulung claim that the place got its name from a vine which was then abundant in the forest. Native called this vine " Am-a- mulung". Since then, the place came to be known as Amulung up to its operation as Municipality on December 15, 1734.

Amulung is 26 kilometers north of Tuguegarao City and could be reached in 35 minutes by land transportation. It has 47 barangays and classified as second (2nd) class Municipality covering an area of 24,220 hectares and populated by about 42,754 inhabitants.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991" extended the powers of the Local Government units to include not only on the ability to create sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the National Government's thrust for sustainable social and economic development.

The audit covered the accounts and operations of the Municipality of Amulung, Cagayan for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

2. Financial Highlights

For CY 2017, the financial information of the municipality is presented below with comparative figure for CY 2016:

Particulars	2017	2016	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	507,838,530.69	424,816,186.25	83,022,344.44	19.54%
Liabilities	141,925,566.00	99,957,046.17	41,968,519.83	41.99%
Government Equity	365,912,964.69	324,859,140.08	41,053,824.61	12.64%
Result of Operations				
Income	139,698,092.19	110,736,401.40	28,961,690.79	26.15%
Expenses	92,418,894.44	67,347,617.05	25,071,277.39	37.23%

Particulars	2017	2016	Increase/(Decrease)	
			Amount	Percentage
Appropriations, Allotments and Obligations				
Total Appropriation	156,952,580.74	170,903,323.11	-13,950,742.37	-8.16%
Total Obligations	97,063,909.62	77,539,627.40	19,524,282.22	25.18%
Comparative Statements of Funds Received from NGAs, LGU, NGOs, & POs				
Nat'l Gov't Offices	20,056,062.80	7,730,312.00	12,325,750.80	159.45%
Local Gov't Units	-	300,000.00	-300,000.00	-100.00%
Comparative Statements of Funds Transferred to NGAs, LGU, NGOs, & POs				
Local Gov't Units	47,000.00	47,000.00	-	

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the fairness of the presentation of the financial statements due to inability of management to complete the conduct of physical count of PPE and to submit the Report thereon rendering the PPE accounts with a net book value of P143,260,897.80 unreliable.

4. Summary of Significant Audit Observations and Recommendations

1. Liquidation of salaries of regular and casual employees and payment of personnel under the "job order" status were not supported with complete documentation, contrary to COA Circular 2012-001 dated June 14, 2012.

   We recommended to Management to comply with COA Circular 2012-001 dated June 14, 2012 "Prescribing the Revised Guidelines and Documentary Requirements for Common Government Transactions" and to stop the practice of the disbursing officer paying salaries to persons other than the payees unless properly authorized by the payee.

2. Cash advances granted to officials and employees of the municipality totaling P 110,605.00 remained unliquidated as of December 31, 2017 in violation of COA Circular 97-002 dated February 10, 1997, despite follow up and issuance of demand letters to concerned employees/officials.

   We recommended that Management enforce strictly the submission of liquidation reports within the prescribed period pursuant to COA Circular 97-002 dated February 10, 1997 and to submit the supporting documents to support the liquidation made under Journal Entry Voucher 2017-43.

3. The Municipal Accountant failed to withhold the correct tax due to some officials and employees for the taxable year 2017 with a total amount of P80,426.81,

which is in contrary to Section 80(A) and Section 79(H) of the National Internal Revenue Code (Tax Code).

We recommended to Management to comply with Section 80(A) and Section 79(H) of the National Internal Revenue Code (Tax Code) to avoid penalties and interest for the non-compliance.

4. One hundred four (104) projects funded out of 20% development fund for CYs 2017 and in prior years totaling P143,175,347.47 were not implemented at year end due to inability of management to properly implement these projects on time resulting to the delayed delivery of the socio-economic development and environmental outcomes in the municipality as provided under DILG DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017.

   We reiterated our recommendation that the Management implement projects as planned and address the causes of delays in the implementation of the 104 programmed developmental projects in order to maximize the utilization of the funds and ultimately achieve desirable socio economic development and environmental outcomes in the municipality.

5. Seventeen programs (17), projects and activities funded out of the share of the municipality on the collection of Burley and Native Tobacco Tax totaling P53,919,836.47 (P53.92 million) were not implemented as of December 31, 2017, due to inability of management to properly implement these projects on time which results to delayed socio-economic development in the municipality and possible benefits to tobacco farmers if the programs were implemented on time and it is contrary to Section 18 of RA 7160, otherwise known as the Local Government Code of the Philippines.

   We recommended that Management to maximize the use of the funds received as share in the tobacco excise tax through proper planning and improved efficiency of its procurement process for a timely implementation of programs in order to improve the quality of life of the tobacco farmers.

Summary of Total Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2017:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Disallowances					
Prior Years	18,328,729.61	0.00	521,022.00	17,807,707.61	2.84%
Current Years	0.00	0.00		0.00	0.00
Total	18,328,729.61	0.00	521,022.00	17,807,707.61	2.84%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

5. Status of Implementation of Prior Year's Audit Recommendations

Out of ten (10) audit recommendations contained in the CY 2016 Annual Audit Report, one (1) was implemented, seven (7) were partially implemented and two (2) were not implemented.